exchange rate (appreciation) discourages exports and stimulates imports, while a falling exchange rate (devaluation) has the opposite effect. In September 1924, the rate was approximately 1s 4d gold and the government was pressed to stabilize the ratio at that level but it refused to do so, and by limiting the supply of currency raised the ratio artificially to 1s 6d by April 1925. Purshotamdas refused to accept an artificial ratio which he thought had been reached by arbitrary executive measures and submitted a Minute of dissent. He also gave his views on the gold bullion standard and his reasons for developing the Imperial Bank into a full-fledged central bank in his Minute of dissent. It is this Minute which is the subject of the next Chapter.